Questions – Group Case Study #4
Worldwide Paper Company, 2018, #UV2499

We will again analyze the Worldwide Paper Company. In the second part of this case, your team has been tasked once more with determining whether Worldwide Paper Company should implement the new investment it is considering. **Your group report should be written in response to the questions below using MS Excel, MS Word, or MS PowerPoint.** When finished, please have someone in your group upload your answers to Canvas.

In part 1 of this case, we calculated the NPV of the proposed investment, assuming the appropriate cost of capital (i.e., discount rate) was 8%. Now, I want you to use the information in Exhibit 1 of the case to determine your own cost of capital and answer the questions below.

This case is worth six points. Questions 1-4 count for one point each, while question 5 is worth two.

<u>In your analysis, please answer the following questions:</u>

1. What reasonable inputs can you use for the debt and equity value needed to calculate WPC's weighted average cost of capital (i.e., *D* and *E*)? *[**Note:** If the case doesn't provide enough information to find what you ideally need, please use something that you think will be close in value to the missing information.]*

2. What is a reasonable cost of debt input for WPC's weighted average cost of capital? Please provide 1-2 sentences to explain your choice here.

3. What is a reasonable cost of equity input for WPC's weighted average cost of capital? Please explain how you determined your answer and identified the necessary inputs.

4. The case states that WPC uses a hurdle rate of 10% when calculating the NPV of its projects. Do you think this is reasonable? Why or why not? If not, do you believe this company will tend to accept too few or too many projects if it continues to apply a hurdle rate of 10% when calculating the NPV?

5. If the proposed project is significantly riskier than the company's existing operations, how would that influence your assessment of whether the weighted cost of capital you calculated is an appropriate discount rate for this project?